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Argentina's Delay of Soybean Export Tax Reduction Unlikely

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Report Highlights:

New developments indicate a delay in the reduction of Argentina's soybean export taxes is unlikely.

Since his inauguration in December 2015, President Mauricio Macri has initiated an economic overhaul in Argentina, including lifting currency controls, lowering taxes and slashing government subsidies (electricity, transportation) that weighed heavily in government spending, in an effort to reduce inflation and boost economic activity. Nonetheless, the pace of change has been too much for some, resulting in public protests by labor unions and pension groups, and not fast enough for investors looking for more swift movements in inflation reduction and regulatory reforms. The public backlash and political opposition worsened when Pres Macri sought financial support from the International Monetary Fund in May after the peso fell dramatically against the dollar.

As part of its fiscal plan, the government lowered the soybean export tax by 5 percentage points to 30 percent and 27 percent for soybean oil and meal, respectively, in 2015. As of January 2018, the soybean and by-product export tax is lowered by 0.5 percentage points every month through December 2019, reducing the respective taxes by 12 percentage points total. By the end of 2019, the export tax for soybeans would be at 18 percent and 15 percent for soybean oil and meal (see Argentina Oilseeds and Products Annual 2018 report for additional information).

Recently, representatives from Sociedad Rural Argentina and Federación Agraria Argentina – two of the most important producer organizations – requested an acceleration of the tax reduction in response to the drought-related losses of soybean farmers. The Ministry of Agro-Industry stated that farmers should rely on the government’s recent emergency support tools as it has no plans to accelerate the reduction.

Last week, in an ongoing review of measures that could lower Argentina’s fiscal difficulties, Treasury Minister Nicolas Dujovne said the government may stop gradually lowering soybean export taxes and might bring back export taxes on wheat and corn. Agricultural leaders, raising an immediate outcry of “broken promises” and “betrayal,” secured an emergency audience with President Macri to voice their opposition. Sources report that their efforts appear to have been successful, at least for now. President Macri’s Chief of Staff Marcos Pena stated on May 25 that a change in the soybean export tax system “is not on the government’s agenda.”¹

The farm sector provided significant support for Macri’s campaign in 2015 by delivering the key rural vote, which a policy reversal could threaten as Macri looks toward a 2019 election. It is likely the government realized that the political costs of such a shift were too high in light of the drought-devastated soybean crop this year and financial losses to the agricultural sector.

¹ <https://www.infobae.com/politica/2018/05/25/marcos-pena-ratifico-que-no-esta-en-la-agenda-del-gobierno-un-cambio-en-el-esquema-de-reduccion-de-retenciones-a-la-soja/>